



15

PLUS
THE NUMBER OF
AUDIO OTT APPS
CURRENTLY
AVAILABLE IN INDIA



100

MILLION
THE TOTAL NUMBER OF
DOWNLOADS WYNK,
JIOSAARN AND GAANA
SAW IN 2021



900

MILLION
THE ESTIMATED
NUMBER OF AUDIO
OTT USERS INDIA
WILL HAVE BY 2030

non-metros in 2021 and were growing faster than metro audiences. The non-metro markets taken together constitute a much bigger chunk than the traditional urban metro market, says Thakkar. "As that market has grown in importance, the amount of investment, both from the platforms, as well as from the creative community, in terms of the attention they're paying to these markets, has gone up."

MONEY MATTERS

While audio OTT apps may be growing in India at a fast clip, are they making any money? These apps usually have three sources of revenue: advertising-driven, subscription-driven and embedded apps, which are bundled with a subscription or service. According to the Ficci-EY report, streaming platform revenues (including YouTube) increased almost 22 per cent in 2021 to ₹1,200 crore, over 80 per cent of which was advertising-driven. That's understandable, given that India had only around 3 million paid music streaming subscriptions in 2021, and it was projected to cross 7 million by 2024. A leading cause for this is the free availability of content.

Thakkar believes the audio OTT players will invest in other formats and exclusive content to differentiate themselves from competition and attract new users. "We are in a phase where people continue to spend to attract users, because the growth in users is what drives valuation, which ultimately will drive consolidation." And it is consolidation that will lead to a pivot towards subscription revenues, thereby leading to profitability. Agrees Kumar S. Taurani, Chairman and MD of content major Tips Industries. "Once the subscription-



"Regional content is the fastest growing sub-segment, recording over 70 per cent growth in streams for Wynk"

ADARSH NAIR
CEO, AIRTEL DIGITAL



"With the introduction of 5G, we will see the infrastructure and the environment for audio OTT improving"

JEHIL THAKKAR
PARTNER AND M&E
SECTOR LEADER,
DELOITTE INDIA

based model becomes more popular, it will be another turning point for the space," he says. For Thakkar, consolidation "will happen in the next three years or so". He points out that the players will see profitability "in the medium term".

Music streaming is the dominant segment among audio OTTs, but the space also includes formats such as podcasts, audio books, etc. Prashant Panday, MD & CEO of Entertainment Network (India) Ltd (which operates the Mirchi brand) says non-music OTTs such as his are helping generate fresh opportunities for many content creators. "I would imagine the non-music audio OTT market would be less than 50 million users monthly," he says, adding that globally, this is a big market and offers immense growth opportunities, which Mirchi hopes to exploit with its recently launched Mirchi Plus app. When it comes to quality non-music audio content, the regional languages have very little to offer at present, he says. "We will tap into this opportunity, especially given our presence in so many regional markets."

"India is one of the fastest-growing marketplaces for Audible," says Shailesh Sawlani, VP and Country GM of Audible India. "The pandemic aided discoverability and added to the growth of audio content consumption. We believe this growth is here to stay. The flexibility of audio as a medium and its ability to provide relief in a screen-dominated lifestyle makes it an indispensable medium for consumers."

For audio streaming apps in India, the symphony has just begun. **BT**

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